



File No.: EXP202200934

RESOLUTION OF EXPIRATION OF PROCEEDINGS

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: On January 11, 2022, A.A.A. (hereinafter the complainant) filed a complaint with the Spanish Agency for Data Protection against EUSKALTEL, S.A. with NIF A48766695 (hereinafter, the complained party).

The reasons for the complaint are that on January 3, 2022, after accessing their personal area with the complained party, they verified that the contracted services do not belong to them, associated with a phone number and an email address that they do not recognize.

On January 4, 2022, they also verified that the bank account number had been modified.

They attached to their complaint a consumption invoice from November 2021 with their personal data and the one from December 2021 in which the modified data appears and a contract formalized without their consent in December 2021.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), on January 27, 2022, this complaint was forwarded to the complained party for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations. The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was acknowledged on February 4, 2022, as recorded in the acknowledgment of receipt in the file.

The complained party sent the following to the AEPD on March 4, 2022:

"A.A.A. was a client of Euskaltel since September 21, 2015, without A.A.A. ever questioning the legitimacy of this contracting or the data processing carried out by Euskaltel in relation to it.

On December 1, 2021, a salesperson from the door-to-door channel entered into Euskaltel's systems an extension of the contracted services in the name of A.A.A. at a second residence.

This person uploaded, in addition to the service activation, the documentation required by Euskaltel: a copy of the ID and a copy of the bank account verification, which are provided as Annex I and Annex II to this document.

For Euskaltel, this activation complied with all the documentation and identity verification requirements outlined in our procedures, as can be verified in the attached documents.

Since it was an in-person activation, the salesperson is contractually obligated to verify the identity of the person making the contract, in addition to providing a copy of the verified documentation to demonstrate compliance with this obligation.

Once the complaint from A.A.A. was received, it was verified that the salesperson who managed the unrecognized activation had the code, recorded in Euskaltel's system logs, personal and unique ***CODE.1.

The cited code is associated with the in-person sales force provider of this company, Naviser Cantábrico S.L.

After communicating this complaint to Naviser and requesting information about it, they indicated the following:

The salesperson assigned the code ***CODE.1 was dismissed for cause by Naviser on January 24, 2022, due to detected fraudulent activities in the activations and sales of products they had been carrying out.

As a result of the investigation initiated following A.A.A.'s complaint, it is concluded that the cause of the fraudulent activation in the name of A.A.A. is a criminal offense committed by the Naviser salesperson identified by Euskaltel as ***CODE.1, who impersonated A.A.A. before Euskaltel and Naviser, providing their personal documentation, in an activation that they knew had not been requested by the actual client.

This person is solely responsible for this incident, having committed a fraud offense.

It has been investigated whether the documentation provided by the salesperson in the fraudulent activation in the name of A.A.A. could have been obtained by them from Euskaltel's systems, and it has been verified that this is not possible.

The original activation and the documentation provided at that time by A.A.A. is from 2015, while the ID provided by ***CODE.1 is from September 9, 2019.

Furthermore, we see that the ID provided by A.A.A. in their complaint to the Agency has an issuance date of October 28, 2021, which does not match the one provided in the contract subject to the complaint.

However, the validity dates of both IDs do match.

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Furthermore, A.A.A. requested a duplicate SIM on 10/18/2021 at an Euskaltel store (the duplicate was never disputed by the claimant and is not the subject of this claim).

All of this leads us to believe that A.A.A. suffered a theft in mid-October, through which the fraudster was able to obtain their documentation and data and use them in the contract signed on December 1. With all the above, we want to reinforce the fact that Euskaltel received true information and legitimate documents from the impersonator, which did not come from our systems but were obtained through other means (we believe it was a theft from A.A.A.).

This, combined with the fact that the sales representative who had the duty to verify the contract in person with A.A.A. was responsible for the impersonation, made it impossible for Euskaltel to detect the fraud, despite all the measures implemented.

It should be noted that there were already several quality control processes in place at the time these events occurred for the contracts made by the in-person sales staff, whose purpose is, among other things, to detect anomalous behaviors or fraud by the sales representatives managing in-person sign-ups:

- Naviser, as a supplier of this company, has implemented its own quality process in which a percentage of the sign-ups managed by each of its sales representatives is reviewed.

It was in this process that fraudulent actions by the representative with code ***CÓDIGO.1 were detected, and they were promptly dismissed to prevent further malicious actions on their part.

Additionally, obviously, the fraudulent sign-ups detected were canceled.

Not all the sign-ups processed by this representative were indeed fraudulent, and specifically in the case of A.A.A., fraud was not detected due to the presence of legitimate documentation.

- Euskaltel also has an established quality process that audits a percentage of all sign-ups managed by its suppliers, reviewing the quality of the sale, the documentation provided, the actual channel, and of course, validating all the sign-up data with the client.

As measures implemented to prevent such events from occurring again, it is indicated that the first measure was taken directly by Naviser on 01/24/2022 with the withdrawal of access credentials to Euskaltel systems from the representative with code ***CÓDIGO.1 and their disciplinary dismissal.

Furthermore, they indicate that they have taken the following measures in their internal procedures to prevent situations like these, where one of their representatives commits fraud in the contracting:

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- Access credentials to Euskaltel systems have been revoked for all their sales representatives, so that all service sign-ups are processed by an internal back office, composed of only three people.

The reason is the high turnover of in-person door-to-door sales staff, which makes it more complicated to build trust relationships.

These individuals will conduct a second review of the documentation for the contract while loading it into the systems.

- The percentage of sign-ups reviewed in their internal quality processes has been increased.
- A specific review of sign-ups for second residences has been included in the quality process, that is, for sign-ups for existing clients at a different address from the original client, as in the case subject to the claim.

In conclusion, it is considered that there has been no responsibility, either intentional or negligent, on the part of Euskaltel in the management of the sign-up in the name of A.A.A.

The sole responsible party has been an individual, the Naviser representative, who committed a crime of identity theft and fraud, through the failure to fulfill their work responsibilities of verifying the client's desire to contract, as well as providing documentation knowing that it was not the client who was providing it.

Furthermore, we must indicate that there has also been no illegitimate processing of A.A.A.'s data by this company.

A.A.A. has been a client since 2015 and has never questioned the legitimacy of the 2015 contract. And in this case, no personal data of A.A.A. was processed beyond what has been legitimately processed since 2015.

There has also been no leak of personal information of A.A.A. for which Euskaltel is responsible. It has been verified that none of the data or documentation provided in the impersonation by the representative ***CÓDIGO.1 was obtained from Euskaltel's systems, as it was not previously registered in them.

We do not know the origin of the same, but the sole responsible party is the representative who maliciously used them.

Regarding the duty of diligence on the part of Euskaltel in identifying the identity of the contractor, as previously indicated, this obligation lay with the Naviser representative through the service provision contract with this company.

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And Euskaltel was unable to detect the crime committed by this person and the contractual breach for having provided as evidence a copy of a legitimate document.”

THIRD: On April 11, 2022, in accordance with Article 65 of the LOPDGDD, the complaint submitted was admitted for processing.

FOURTH: The General Sub-Directorate of Data Inspection, by virtue of the functions assigned to the control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section two, of the LOPDGDD, carries out the necessary investigative actions to clarify the reported facts.

LEGAL GROUNDS

I

Competence

In accordance with the functions conferred on each control authority by Article 57.1 a), f) and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to resolve these investigative actions.

Furthermore, Article 63.2 of the LOPDGDD states: “The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

II

Expiration of Preliminary Investigative Actions

Article 67 of the LOPDGDD establishes the following regarding preliminary investigative actions:

“1. Before the adoption of the agreement to initiate proceedings, and once the complaint has been admitted for processing, if applicable, the Spanish Agency for Data Protection may carry out preliminary investigative actions in order to achieve a better determination of the facts and circumstances that justify the processing of the procedure. The Spanish Agency for Data Protection shall act in any case when it is necessary to investigate treatments that involve massive traffic of personal data.

2. The preliminary investigative actions shall be subject to the provisions of Section 2 of Chapter I of Title VII of this organic law and may not exceed a duration of twelve months from the date of the admission agreement or from the date of the agreement deciding its initiation when the Spanish Agency for Data Protection acts on its own initiative or as a result of communication sent to it by the control authority of another Member State of the European Union, in accordance with Article 64.3 of this organic law.”

According to the provisions of the transcribed article, the preliminary actions shall be understood as expired if, more than twelve months have elapsed from the date of admission of the complaint, they have not been concluded.

In the present case, the computation of the maximum duration of twelve months for the preliminary actions began on April 11, 2022, and therefore must be declared expired.

Therefore, in accordance with the aforementioned, the Director of the Spanish Agency for Data Protection, IT IS AGREED:

FIRST: TO DECLARE the EXPIRATION of the present preliminary investigative actions and proceed to their ARCHIVING.

SECOND: TO NOTIFY this Resolution to EUSKALTEL, S.A. and to the complainant.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and in paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

907-091222

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